

States, Europe, and Japan could all have growth spurts, balance their budgets and start reducing their debts to manageable levels.

Otherwise, bond markets are likely to be graveyards for investors' money.

The trick, for families interested in building and maintaining wealth, is to make sure compounding is working for you, not against you.

So let's go back to the stock market.

ARE STOCKS A GOOD IDEA?

The whole idea of stock market investing is a bit of a scam. The idea is to sell people bits of businesses they know nothing about at prices that the people who *do* know something judge too high. Otherwise, why would the insiders sell?

If you had a profitable business, why would you want to sell it to strangers? And why would strangers want to buy it?

You may say that you are going to retire. And you want to sell. You want the "liquidity event" wealth managers talk about. But why? If you sell, you will get money. What will you do with the money? You must put it somewhere. Assuming it is more than you can spend, you will either leave it in cash or put it into investments. There are only two major investment choices that are liquid (readily converted to cash): stocks or bonds.

If you buy stocks, you are merely taking money out of a business you know and putting it into a business you don't know. Good luck on that. If you buy bonds, you are trading your own equity for someone else's debt. Why would you do that, unless you believed that your equity wasn't really as solid as the alternative?

You say you need income to live in retirement? What kind of a business was it that it didn't produce enough income for you to retire on?

When you sell a business, you typically think in terms of price to earnings. People buy a stream of income. They pay according to how much income they think they will get. So if you have a business that is producing \$100,000 in income, a buyer will compare your stream of income to others available to him.